The Desire-Lever:

A Bargaining Theory of Normative Power

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Abstract

This paper develops a game-theoretic model of the *desire-lever*: a mechanism by which a principal shapes an agent's behavior by making access to a desired good conditional on the agent's alignment with the principal's objectives. The lever is formalized as a bargaining problem in which the principal offers access to a desired good in exchange for alignment, and the terms of trade depend on the agent's outside options, the principal's knowledge of the agent's desires, the principal's certification technology, the credibility of the principal's promises, and—in the general case—the principal's capacity to shape the agent's desires.

The paper makes twelve contributions. First, it treats "conduct" not as an objective behavioral category but as *principal-relative alignment*. Second, it distinguishes two forms of freedom—*space*, the agent's alternatives, and *time*, the agent's pause for deliberation—and shows that the two are substitutes with different structural properties. Third, it derives the *extraction limit*: the principal's power is bounded by the agent's surplus. Fourth, it identifies the *discovery problem*: desire is an informational asset, so leverage generates a derived demand for intelligence, while concealment is the agent's counter-power. Fifth, it identifies the *credibility constraint* and the *certification trade-off*. Sixth, it states a conditional *exhaustiveness lemma*. Seventh, it derives a testable empirical implication about the density of the discovery apparatus. Eighth, it develops a *win–draw–loss typology* and characterizes the *win–win equilibrium*. Ninth, it extends the model to *bipartite bargaining networks*, in which corruption, lobbying, and coercion appear as the characteristic forms the lever takes when the network is dense. Tenth, it *endogenizes the network*. Eleventh, it identifies the *formation advantage*: a principal who can shape the agent's desires sets the parameters of the pricing problem. Twelfth, it proves that *coercive closure* is the limit case of the network model, unifying jailing, excommunication, and reputational closure as three components of a single coercive instrument.

The paper concludes that the lever's distinctive property—preserving formal agency while conditioning its exercise—means that the agent's choice cannot by itself legitimate the terms, and that the conditions which make a lever ethical are, within its own domain, also the conditions which make it durable.

Keywords: desire-lever, bargaining, conditional access, alignment, space-freedom, time-freedom, credibility, certification, desire discovery, surveillance, opacity, formation, authenticity, conditional benefits, coercive closure, fiduciary capture, win–win equilibrium, network, corruption, lobbying, governance, longevity, dual use, normative power

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1 Introduction

A recurrent structure in human societies ties access to a desired good to a condition of conduct. Do this, and you will receive that; fail, and you will not. The desired good may be material—food, land, money—or immaterial: salvation, belonging, honor, security. The condition may be simple, such as paying a tithe, or complex, such as living according to a law. The authority that certifies compliance may be a priest, a state, a community, or a god.

This paper calls this structure the **desire-lever**. A principal shapes an agent's behavior by making access to a desired good conditional on the agent's alignment with the principal's objectives. The mechanism is ancient and ubiquitous. It ranges from the crude transaction—pay the tithe, receive the blessing—to the sophisticated governance of souls. It applies to individuals, groups, and nations.

The model treats the desire-lever as a *bargaining problem*: the principal offers access to a desired good in exchange for alignment, and the terms of trade depend on the agent's outside options, the principal's knowledge of the agent's desires, the principal's certification technology, the credibility of the principal's promises, and the principal's capacity to shape the agent's desires.

The desire-lever is not a discovery of this paper. It is the explicit formalization of a mechanism described, under different vocabularies, by the sociological and historical traditions. Lukes's third face of power [10] identifies the shaping of preferences as the deepest form of power; Foucault's account of pastoral power and confession [5] describes the discovery apparatus; Scott's account of hidden transcripts [15] describes the concealment dynamic. The paper's contribution is to state the mechanism as a bargaining problem, derive its limits and comparative statics, distinguish the two freedoms, analyze work and governance as applications, extend the framework to endogenous networks, identify the formation advantage as a meta-locus, unify the coercive instruments, and show that the conditions for ethical conduct of the lever converge with the conditions for its durability.

2 The General Framework

2.1 Players, Goods, and the Alignment Variable

There are two players: a principal P and an agent A. The principal controls access to a desired good D, which the agent values at $v > 0$.

Let $a \in \mathcal{A}$ be the agent's **alignment state**: the vector of acts, omissions, dispositions, associations, and internal states that the principal can evaluate. Let $O_P(a, t)$ be the principal's valuation of that state at time t. **Conduct** is then defined as principal-relative:

$$\text{Conduct} \equiv \left\{ a \in \mathcal{A} \,:\, O_P(a,t) \geq \bar{O}(t) \right\}, \tag{1}$$

where $\bar{O}(t)$ is the principal's threshold for acceptable alignment. The agent's cost of alignment is $c(a)$, and the principal's benefit is $b(a, t) = O_P(a, t)$. The cost of providing D is $k \geq 0$, and the agent's outside option is $u_0 \geq 0$.

The key conceptual move: *the agent bears the cost, the principal sets the standard.*

2.2 Conduct as Principal-Relative Alignment

Alignment is dynamic. The principal's objectives change, so the agent must track a moving target. This is why the lever requires *ongoing certification*: confession, audit, surveillance, examination, pastoral oversight.

Alignment is multidimensional. The principal may value not only acts but dispositions, speech, omissions, association, and internal states. The shift from immanent to deferred sanctions is a shift from *act-alignment* to *whole-person alignment.*

The standard is contestable. The lever works best when the principal's definition is accepted as legitimate, sacred, natural, or inevitable—when the agent adopts O_P as their own objective function. This is the internalized lever.

2.3 The Two Freedoms: Space and Time

The model has, so far, used a single scalar u_0 to represent the agent's outside option. This conflates two analytically distinct forms of freedom.

Definition 2.1 (Space-Freedom)**.** *The agent's* space-freedom *is the value of the agent's best alternative to the lever, $u_0 \geq 0$. It is measurable, material, and largely external: it can be given, built, bought, inherited, or lost.*

Definition 2.2 (Time-Freedom)**.** *The agent's* time-freedom *is the capacity to delay the response to the principal's offer long enough to inspect the terms. Let $\delta_A \in [0,1]$ be the* deliberation parameter*: the probability that the agent inspects the terms before accepting. Time-freedom is not priced, cannot be transferred, and cannot be administered by an institution.*

The two freedoms dissociate. An agent with high u_0 may have $\delta_A \approx 0$. An agent with $u_0 = 0$ may have $\delta_A \approx 1$.

The participation constraint generalizes to

$$\delta_A \cdot \big(v - c(a) - u_0\big) \geq 0, \tag{2}$$

and the principal's effective extraction becomes δ_A-weighted.

Proposition 2.1 (Deliberation and Extraction)**.** *The principal's equilibrium alignment a^* is decreasing in the agent's deliberation parameter δ_A and increasing in the agent's space-freedom u_0. The two freedoms are substitutes.*

Proof. The principal maximizes $b(a) - k$ subject to (2). Since $b' > 0$, the constraint binds. Rearranging gives

$$c(a^*) = v - u_0 - \frac{\varepsilon}{\delta_A},$$

where $\varepsilon \geq 0$ is the slack the principal must leave to ensure acceptance. As $\delta_A \to 0$, the term ε/δ_A diverges, and the constraint becomes slack. As $\delta_A \to 1$, the term vanishes. The comparative statics follow. □

Space is priced, and because it is priced, it compounds. Time is not priced, and so it does not compound, and it cannot be converted into space. This asymmetry is the formal content of the observation that the rich get richer by buying space while the poor cultivate time as the only freedom that remains.

2.4 Work as a Bilateral Lever

In the employment relation the structure is bilateral. The worker is also a principal, controlling access to their labor, attention, and judgment, and conditioning that access on a wage. The employment relationship is *two levers facing each other.*

Let the worker control a good D_W (labor) valued by the employer at v_E, and the employer control a good D_E (wage) valued by the worker at v_W. The wage w is the point at which the two extraction limits meet:

$$w^* \in \left[\, c_E^{-1}(v_W - u_W),\ v_E - c_W^{-1}(u_E) \,\right], \tag{3}$$

where u_W is the worker's outside option and u_E is the employer's.

The form of the wage is not neutral. Wages have been paid in many media: grain, ore, land, plunder, company scrip, shares. Each medium is a claim on space in a particular form. The medium determines what kind of space the worker can accumulate.

Occupations trade time for space. The worker sells the pause in exchange for claims on alternatives. A high wage with no transferable skill, no savings, and no reputation outside the firm is a well-paid cage.

2.5 Conditional Claims and the Structure of Benefits

Definition 2.3 (Conditional Claim)**.** *A* conditional claim *is a transfer $\tau \geq 0$ to the agent whose realization requires the agent's continued alignment with the principal. Formally, the agent receives τ with probability $\pi(a)$ and receives nothing with probability $1 - \pi(a)$, where π is increasing in alignment a and $\pi(a) \to 0$ as the agent exits.*

Proposition 2.2 (Conditional Claims Do Not Increase Outside Options)**.** *A conditional claim increases the agent's wealth conditional on staying, but does not increase the agent's outside option u_0. In the limit as the exit-forfeiture probability approaches one, the conditional claim is equivalent to a reduction in u_0.*

Proof. The agent's outside option is the value of the agent's best alternative. A claim that vanishes on exit contributes zero to that alternative. Formally, $u_0 = \max_{j \neq i}\{v_j - c_j(a_j)\}$, and a conditional claim offered by principal i does not enter the maximand. As the forfeiture probability approaches one, the effective outside option falls toward $u_0 - \tau$. □

2.6 The Principal's Problem

The principal offers a contract (a, x), where $x \in \{0, 1\}$ indicates provision of D. The principal solves

$$\max_{a,\,x}\ b(a) - xk \quad \text{subject to} \quad xv - c(a) \geq u_0. \tag{4}$$

Define the **agent's surplus** as $S_A = v - c(a) - u_0$. The **efficient alignment level** a^e equates marginal benefit to marginal cost, $b'(a^e) = c'(a^e)$.

3 The Basic Model: Complete Information

3.1 The Extraction Limit

Assume complete information and a take-it-or-leave-it offer. Since $b' > 0$, the constraint binds:

$$c(a^*) = v - u_0. \tag{5}$$

Proposition 3.1 (Extraction Limit, Alignment Version)**.** *In the basic model the principal requires $a^* = c^{-1}(v - u_0)$ and extracts the agent's entire surplus.*

Proof. Maximize $b(a) - k$ subject to $v - c(a) \geq u_0$. Since $b' > 0$, the constraint binds. Rearranging gives $c(a^*) = v - u_0$. □

The principal is extracting *conformity to a standard the principal itself sets and revises.* The agent's surplus is the measure of the principal's power: the more the agent values the good relative to their outside option, the more alignment the principal can demand.

4 The Exhaustiveness Lemma

Proposition 4.1 (Exhaustiveness Lemma)**.** *For a principal who forswears force, coercion, and deception, and who takes the agent's preferences as given, the desire-lever is the only remaining instrument of influence—within a fixed preference structure.*

Sketch. Influence requires changing the agent's behavior. Without force or coercion, the principal cannot impose behavior. Without deception, the principal cannot misrepresent the terms. With preferences fixed, the principal cannot change what the agent wants. The only remaining channel is to make access to what the agent already wants conditional on behavior—which is precisely the desire-lever. □

5 Information Asymmetry and the Discovery Problem

The lever presupposes knowledge. To set the terms well, the principal must know what the agent actually wants. Too high a price and the agent refuses, or leaves, or pretends to agree while quietly doing something else. Too low and the principal leaves value on the table.

Proposition 5.1 (The Discovery Problem)**.** *Desire is an* informational asset. *The principal's demand for leverage generates a derived demand for intelligence: an apparatus to discover the agent's desires, their intensity, and their outside options. Concealment, dissimulation, and privacy are the agent's counter-power.*

This is what confession is. What performance reviews are. What customer surveys, credit scores, background checks, recommendation algorithms, and intelligence services are. They are all answers to the same question: what does this person actually want, and how much would they give for it?

The corresponding truth for the agent: *privacy is not a luxury; it is leverage.* If the principal cannot read the agent, the principal cannot price the agent. If the principal cannot price the agent, the principal must offer better terms. An unreadable person is a harder person to manage.

Proposition 5.2 (Empirical Implication)**.** *The density and casuistic complexity of the principal's discovery apparatus should increase with the heterogeneity of agent types.*

6 The Credibility Problem and Certification

Some levers pay out immediately. But the most powerful levers pay out later—heaven, promotion, pension, legacy, the long-term payoff of loyalty. The problem is that the agent cannot check whether the promise is real until it is too late.

Proposition 6.1 (The Credibility Constraint)**.** *When the desired good is deferred and unverifiable, the principal must invest in credibility. The principal builds institutions, writes texts, creates rituals, trains professionals, publishes rules, submits to audits—all machinery for making a future promise believable today.*

Proposition 6.2 (The Certification Trade-off)**.** *The principal chooses a certification technology that balances the lever's power against its credibility cost. A more demanding certification (whole-person alignment, internal states) increases power but raises the cost of making the promise credible.*

When someone is selling a future, ask what they have spent to make it believable. The answer tells how seriously to take the offer.

7 Fiduciary Capture

Definition 7.1 (Fiduciary Capture)**.** *Fiduciary capture is the limit case in which the agent's outside options collapse, the principal becomes a monopolist, and the principal's definition of alignment is absorbed into the agent's own standard of self-evaluation.*

The agent does not feel controlled. The agent feels like themselves. That is precisely what makes capture complete. The agent has no alternatives, and then stops needing them, because the agent has absorbed the principal's standard as their own.

8 The Formation Advantage

Everything so far assumes the agent already knows what they want. The deepest lever relaxes this assumption.

Proposition 8.1 (The Formation Advantage)**.** *A principal who can shape the agent's desires does not merely price the lever; the principal sets the parameters of the pricing problem. Formation is a meta-locus that governs the other three loci (the standard, the discovery apparatus, and the credibility investment).*

A person who can shape what you desire does not need to bargain with you at all. They set the terms of the game before you sit down to play. They do not have to convince you to want the promotion, the product, the salvation, the body, the life. They make you want it, and then they sell it to you—and the exchange feels like your own choice, because as far as you can tell, it is.

This is the difference between being outmatched and being formed. The first you can notice. The second you usually cannot.

Formation attacks both freedoms at once. A principal who plants desires does not have to close the agent's exits—the principal makes the exits lead back to the principal. And the principal does not have to take the agent's time—the principal fills the pause before the agent notices it was there. A planted desire is a desire the agent does not inspect.

The ethical tetrad—transparency, exit, contestability, opacity—becomes a pentad with the addition of *authenticity*: the question of whether the agent's wants are the agent's own.

9 The Win–Draw–Loss Typology

Definition 9.1 (Win–Draw–Loss)**.** *A lever outcome is a* win *for the principal when the principal extracts surplus while the agent's participation constraint binds; a* draw *when neither party gains relative to the outside option; a* loss *when the agent exits or the principal's sustainability constraint is violated.*

Proposition 9.1 (The Win–Win Equilibrium)**.** *A* win–win equilibrium *exists precisely when the principal's sustainability constraint binds but does not eliminate the lever. In this region, the principal restrains extraction—not out of kindness, but out of arithmetic—because tolerable terms are what keep the agent in the game.*

This is the quiet reason why ethical arrangements tend to outlast exploitative ones. It is not that virtue always wins. It is that the arrangement which respects the agent's ability to leave is the arrangement that survives the agent's ability to leave. Where force is available, this logic breaks down—a state that can jail its citizens does not need their consent. But wherever the lever must be voluntary, the same conclusion keeps returning: *the conditions that make a relationship decent are the conditions that make it last.*

10 The Network Extension

10.1 Bipartite Bargaining Networks

When many principals hold levers, and none of them dominates, the agent is safer. The agent can play them against each other, and the agent's alternatives multiply. This is why competition protects consumers, why federalism protects citizens, why a free press protects the public, why a diversified set of relationships protects a person.

Proposition 10.1 (Density and Extraction)**.** *In a bipartite bargaining network, the extraction on any single link is decreasing in the number of the agent's alternatives. Corruption, lobbying, and coercion are the characteristic forms the lever takes when the network is dense and no single party has dominance.*

The danger comes when the many collapse into one—when the competitors merge, the agencies coordinate, the platforms consolidate, the interests align. That is when a network becomes captured, and when the many parties the agent thought they were dealing with turn out to be one. Corruption, lobbying, and coercion look like different things. They are the same thing: the lever, operating among many players, before or after the moment when the many become one. The difference between a market and a cartel is not the number of participants. It is whether the agent can still walk away.

10.2 Coercive Closure

Proposition 10.2 (Coercive Closure)**.** *Coercive closure is the limit case of the network model. A principal who can remove the agent's exit—by jailing, excommunication, or reputational closure—restores the bilateral extraction limit, because the agent's outside option is destroyed.*

Jailing, excommunication, and reputational closure (character assassination, propaganda, false accusation) are three components of a single coercive instrument, each of which is intelligence-led in the sense of the discovery apparatus turned around. The state is the principal that can remove exit. It can jail, fine, conscript, and in the extreme case kill. This is why the convergence between ethics and durability holds only within the domain where force is unavailable.

11 Longevity and Dual Use

Proposition 11.1 (Longevity)**.** *The captured equilibrium is sustainable in the long run only if the principal maintains a positive effective barrier in the stationary state. If the challenger's circumvention technology is sufficiently cheap, the barrier converges to zero, and the captured equilibrium unravels.*

The theory is dual-use. Told to the person holding the lever, it is a manual for extraction: here is how to find what they want, here is how to make the terms stick, here is how to keep them from noticing. Told to the person under the lever, it is a language for naming what is happening, and a map of where the exits are. There is no neutral version. Anyone who claims to offer one is keeping something back.

Proposition 11.2 (Dual Use)**.** *The win–win region is largest when both parties understand the mechanism. The agent's literacy raises the cost of extraction; the principal's literacy raises the cost of overreach. Understanding, shared, is the condition under which the lever is most likely to be held ethically.*

12 Conclusion

The desire-lever's distinctive property is that it preserves formal agency while conditioning its exercise. The agent always chooses; the principal arranges the choice. This is why the agent's choice cannot by itself legitimate the terms: a choice made under a formed preference, against a collapsed outside option, is not evidence of consent.

The conditions that make a lever ethical are, within its own domain, also the conditions that make it durable. Transparency, exit, contestability, opacity, and authenticity are not moral ornaments; they are the parameters that determine whether the lever is held well or held badly, and whether it lasts.

The deepest form of power is not the power to make the agent obey. It is the power to keep the agent from understanding the arrangement they are in—to make the lever invisible, and the agent's compliance feel like character. The antidote is not suspicion. It is literacy. Know what you want. Know what you would give for it. Know what you would do instead. And know what the arrangement is asking of you.

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